EXPORTS

BREAKING THE BARRIERS

UNION BUDGET 2025-26

India's export growth remains sluggish. As of December 2024, the country's total exports stood at $70.67 billion (Rs 6.15 lakh crore), only marginally higher than the same month in the previous year. To boost exports, India needs to focus on sunrise sectors such as electronics, machinery, telecommunications and pharmaceuticals while also supporting labour-intensive industries like textiles and leather to drive employment creation, industry experts suggest.

Enhancing export competitiveness requires improving credit flow

Enhancing export competitiveness requires improving credit flow to exporters and reducing borrowing costs



and reducing borrowing costs. Rising sea and air freight costs have already strained exporters. At the same time, global buyers are facing a liquidity crunch. "The payments cycle (period within which exporters would be paid by clients), which was typically 45-60 days, has now become 120-130 days," says Ajay Sahai, director general, Federation of Indian Export Organisations. "The sector requires more credit and for a longer duration."

STATE SUPPORT

Marketing support is another critical need, particularly for MSMEs. For the purpose, the commerce ministry has allocated only Rs 200 crore, insufficient for a $2 trillion (Rs 174 lakh crore) export target. Additionally, reducing logistics costs by expanding infrastructure is essential. For example, at Jawaharlal Nehru Port Trust in Maharashtra, the shipping turnaround time for containerised cargo is 22 hours—much longer than the 8-10 hours in Singapore or Hong Kong—adding to exporters' costs.

Besides, expediting key free trade agreements such as the proposed pact with the UK and the ongoing negotiations with the European Union remains crucial to strengthening India's position in international trade. ■

TOURISM

Put an End To Piecemeal Growth



The overarching concern with the tourism sector is the fact that India still hasn't streamlined its tourism strategy. While the Union budget's announcement to develop 50 tourist destinations is a step in the right direction, it could have been taken much further, says Anand Ramanathan, partner & consumer industry leader, Deloitte India. "Rather than simply selecting 50 destinations, why not identify 50 or even 20–30 circuits for development?" he asks.

The goal here, say industry experts, should be to create tourist packages because travellers, unlike local day-trippers, don't visit just one location. Most plan multi-day itineraries that include nearby attractions, so an entire region—along with its tourist spots—needs to be developed to kickstart tourism.

ONUS ON STATES

The budget acknowledges the need to collaborate with states. The onus is on the states, for on-the-ground execution depends on infrastructure, safety, cleanliness, law and order—all managed at the local level.

Ramanathan suggests that just like the Urban Challenge Fund of Rs 1 lakh crore, a similar fund for tourism could have been introduced to incentivise municipal corporations and train tourism experts for destination development.

Setting up all local tourism agencies that could link local stakeholders is needed for a well-integrated tourism ecosystem

Another critical missing link in creating a well-integrated tourism ecosystem is the lack of local tourism agencies. "We see this abroad—dedicated airport helpdesks that assist tourists," points out Ramanathan. Such tourism-enabling organisations could link local tourism stakeholders to ensure that efforts are synchronised rather than fragmented across multiple agencies. Without such integration, India's tourism sector will develop in a piecemeal manner, lacking cohesion and long-term impact. ■

–M.G. Arun, Kaushik Deka, Amarnath K. Menon, Anilesh S. Mahajan, Sonal Khetarpal and Avishek G. Dastidar